

EPIF Position on the Business Wallet

June 2026

The EPIF – the European Payment Institutions Federation – is excited at the prospect of the European Union developing a European Business Wallet. Similar to the already adopted revisions to the eIDAS framework to allow for a European Identity Wallet EPIF believes a Business Wallet would be a logical progression.

In this context, EPIF welcomes that the proposed Regulation builds on the technical specifications of the European Digital Identity framework, as this supports consistency, trust and interoperability across the market.

Representing the innovative payment sector, EPIF believes that an effective European Business Wallet could play an important role in Know Your Customer (KYC) and Customer Due Diligence (CDD) processes, both at the onboarding of new business customers and in the monitoring of existing relationships. It could also support the provision of financial services, including payment services.

In addition, a European Business Wallet could facilitate the authorisation of payments, including compliance with Strong Customer Authentication requirements. A further important use case would be the integration of the Business Wallet into ongoing fraud prevention and monitoring processes, notably to mitigate risks such as impersonation and identity-related fraud.

These examples illustrate why EPIF's members see significant potential in this initiative and welcome further work on a European Business Wallet.

At the same time, experience with the European Digital Identity Wallet demonstrates that the successful deployment of such an instrument depends critically on the legislative and technical design choices made. To ensure that this potential can be realised, EPIF considers that a number of key elements must be met.

Interoperability and openness to existing solutions

From the early stages of design, the EU should also consider interoperability not only within the EU, but with existing and future private, national and international wallet solutions. European businesses operate globally and require seamless interaction with international partners. Rather than mandating exclusive data storage and processing within the Union, the focus should remain on the use of common and open technical standards to support cross-border business activity and avoid market fragmentation, as well as to ensure that business data is protected regardless of where it is processed. In addition, to foster a competitive and resilient ecosystem, the

regulatory framework should remain technologically neutral and avoid overly restrictive requirements on supporting infrastructure, such as establishment mandates, which could inadvertently limit the choice of secure and scalable cloud solutions for wallet providers.

EPIF notes with concern that the ITRE draft report proposes to extend establishment and control requirements beyond wallet providers to hosting infrastructure and cloud providers, and to mandate the exclusive storage and processing of wallet data on EU-located infrastructure. These requirements go significantly beyond the Commission proposal and risk creating disproportionate barriers to market entry, reducing resilience through infrastructure concentration, and undermining the Regulation's own framework for serving economic operators established outside the Union. EPIF calls on the co-legislators to adopt a risk-based, proportionate approach to infrastructure requirements that supports cross-border scalability and avoids creating barriers to the provision of wallet services to economic operators established outside the Union.

Voluntary Business Wallets and proportionate requirements

EPIF welcomes the voluntary nature of the European Business Wallet and supports clear and proportionate obligations for Business Wallet providers. At the same time, it is important to avoid additional national requirements, which could fragment the internal market and undermine cross-border scalability. The EBW must be designed as an enabler of existing and future digital services, not as an additional compliance layer that increases operational complexity. We do not see value in any implementation that merely digitizes existing paper-based processes while maintaining parallel systems or creating additional reporting obligations.

Inclusion of relevant information

The European Business Wallet should include the data elements necessary to meet the operational and regulatory requirements of the payment industry. This includes information relevant to payment authorisation, anti-money laundering and counter-terrorist financing obligations, fraud detection and sanctions screening, while respecting data minimisation principles.

Data standardisation and alignment with the European Digital Identity framework

EPIF welcomes that the Regulation builds on the technical specifications of the European Digital Identity framework. The European Business Wallet should draw on existing technical standards, including standardised data formats and methodologies, to ensure consistency across Member States and support cross-border use. Such an approach would enable efficient data exchange and facilitate the detection and prevention of fraud.

Sufficient layers of protection

Given the sensitive nature of the data and functionalities involved, European Business Wallets are likely to be attractive targets for fraudsters. EPIF therefore welcomes the emphasis placed in the Regulation on fraud risk mitigation and considers it essential that security and resilience are embedded in the design from the outset.

About EPIF

By way of background EPIF was created in July 2011 to represent the interests of the non-banking Payment Institutions at the European level. Directly and indirectly EPIF represents roughly 250 payment institutions in Europe covering a range of business models. EPIF brings together European and international companies in the remittance sector, three party card schemes, third party providers, cross-border acquirers, payment processors, electronic payment providers, fx traders, electronic wallet providers and operators of mobile payments.